72 PER CENT Middle East's share in India's urea imports

29 PER CENT Share of the fertiliser industry in India's LNG consumption

FERTILISERS AND AGRICULTURE

UREA CLOUD ON KHARIF

As fertiliser supply chains tighten and costs surge, risks build for India's farms, threatening output, margins and prices

By ANILESH S. MAHAJAN

In mid-March, unseasonal weather linked to disturbances over the Caspian Sea brought spells of rain across North India, arriving at the worst possible time for farmers. Rabi crops were ready for harvest, and even brief showers raised the risk of damage to wheat and mustard still standing in the fields. At the same time, a more distant but potentially deeper threat was beginning to take shape: war in the Middle East. A prolonged conflict, coupled with disruptions in the Strait of Hormuz, could translate into higher input costs, tighter fertiliser availability for the Kharif season and renewed pressure on food inflation.

India's exposure is significant: over 70 per cent of urea imports come from the Middle East. Even as domestic installed capacity has expanded to about 31 million tonnes (MT) by FY26, from roughly 21 MT in FY15, the fertiliser sector remains exposed to external shocks. For, the sector accounts for nearly 29 per cent of India's gas consumption, with a substantial share imported as liquefied natural gas (LNG)—primarily from the Gulf, where Qatar alone supplies around 40 per cent. Any disruption in gas flows

MUJEEB FARUQUI



PRESSURE POINT
A fertiliser warehouse in Bhopal. Stocks are adequate for now, but import delays could spell trouble by May